

INTERNAL AUDIT REPORT

Anti-Fraud Investigation Audit | Report No. AR-02339

Report ID:	AR-02339
Audit Type:	Anti-Fraud Investigation Audit
Report Date:	January 02, 2024
Audit Period:	2023-09-25 to 2023-12-12
Lead Auditor:	George Moran (EMP-13552)
Reviewed By:	Carrie Wilson (EMP-48622)
Primary Vendor Reference:	MomentumCore Corp Ltd (VND-00982)
Subject Employee Reference:	Wendy Johnson (EMP-70956)
Primary Transaction Reference:	TXN-499570
Overall Risk Rating:	LOW

1. EXECUTIVE SUMMARY

This anti-fraud investigation audit covered the period 2023-09-25 to 2023-12-12 and focused on transactions and approvals associated with vendor MomentumCore Corp Ltd (VND-00982). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **LOW** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-499570 (amount 3,751.54 INR) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-00358 1	MEDIUM	POLICY BREACH	Claim EXP-151161 violates Policy POL-0016 section 4.2: Entertainment expenditure capped at \$5,000 per event.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000138	AUDIT REPORT	EVD-CYJ-8182	0.76
EVI-011735	VENDOR RECORD	EVD-XMC-7317	0.91
EVI-013023	COMPLIANCE RECORD	EVD-MTE-7754	0.91
EVI-015362	VENDOR RECORD	EVD-UMN-7765	0.96
EVI-015763	APPROVAL RECORD	EVD-EVM-1403	0.58
EVI-018069	VENDOR RECORD	EVD-NGW-2868	0.57

5. RECOMMENDATIONS

- Restrict post-termination system access to prevent ghost-approver scenarios.
- Require compliance certificate verification as a system gate prior to payment release.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	George Moran	EMP-13552	2024-01-02
Reviewing Officer	Carrie Wilson	EMP-48622	2024-01-04